

KNOW YOUR CUSTOMER & CUSTOMER DUE DILIGENCE POLICY

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AMENDMENT RECORD

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2.0	15 Jan 2021	L. Haugen	Updated EDD thresholds; PEP screening expanded	Board RCC
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4.0	10 Jan 2024	R. Andersen	Full redraft: digital onboarding; AI-assisted screening	Board RCC
4.1	15 Jul 2024	R. Andersen	Added crypto-asset customer provisions	CCO
4.2	01 Jan 2026	R. Andersen	Annual review; updated risk thresholds; AI agent guidance	Board RCC

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1. PURPOSE AND SCOPE

This policy establishes the Know Your Customer (KYC) and Customer Due Diligence (CDD) framework for Nordvik Bank ASA and all its subsidiaries and branches (collectively, the "Bank"). It sets out mandatory standards for identifying, verifying, and understanding customers and their business activities to ensure that the Bank does not knowingly facilitate money laundering, terrorist financing, fraud, or other financial crime.

This policy applies to:

- All employees, officers, and directors of Nordvik Bank ASA and its subsidiaries
- Third-party agents and introducers acting on behalf of the Bank
- All customer types including retail, private banking, corporate, institutional, and correspondent banking relationships
- All product lines including lending, deposits, payments, trade finance, securities, and digital asset services

This policy must be read in conjunction with the Bank's Group AML/CFT Policy, Sanctions Policy, Transaction Monitoring Policy, and Suspicious Activity Reporting Procedures.

2. REGULATORY FRAMEWORK & LEGAL BASIS

The Bank operates under a comprehensive regulatory framework. The primary legislative and regulatory requirements applicable to this policy include:

Jurisdiction	Key Legislation / Regulation
Norway	Hvitvaskingsloven (Money Laundering Act 2018); Hvitvaskingsforskriften (AML Regulations 2018); Financial Supervisory Act
European Union	Directive (EU) 2018/843 (5AMLD); Directive (EU) 2015/849 (4AMLD); Regulation (EU) 2015/847 (Wire Transfer Regulation)
International	FATF Recommendations (2023 update); Basel Committee Guidelines on AML/CFT; Wolfsberg Group Principles
EBA	EBA Guidelines on ML/TF Risk Factors (EBA/GL/2021/02); EBA Opinion on Crypto Assets
Norway FSA	Finanstilsynet Circular 7/2018; Finanstilsynet Guidelines on Digital Onboarding

The Bank commits to maintaining alignment with evolving regulatory guidance and updates this policy at minimum annually to reflect material changes in the regulatory landscape.

3. DEFINITIONS

Beneficial Owner / UBO

Any natural person who ultimately owns or controls a legal entity or arrangement, or on whose behalf a transaction or activity is being conducted. Threshold: 25% ownership or voting rights (reduced to 10% for high-risk customers).

CDD (Customer Due Diligence)

The process of identifying and verifying customer identity and understanding the purpose and intended nature of the business relationship.

CIP (Customer Identification Program)

The formal program for collecting, verifying, and maintaining records of customer identifying information.

EDD (Enhanced Due Diligence)

Additional CDD measures applied to higher-risk customers, relationships, or transactions.

eKYC

Electronic Know Your Customer – the use of digital means including biometric verification, document scanning, and database checks to fulfil CDD obligations.

FATF

Financial Action Task Force – the international standard-setting body for AML/CFT.

High-Risk Customer

A customer assessed as presenting elevated money laundering, terrorist financing, or fraud risk based on the Bank's risk scoring methodology.

KYC

Know Your Customer – the process by which the Bank identifies its customers and assesses the risks associated with the relationship.

ML/TF

Money Laundering / Terrorist Financing.

PEP (Politically Exposed Person)

A natural person who is or has been entrusted with a prominent public function. Includes foreign and domestic PEPs and their close associates and family members.

Risk Appetite

The level of ML/TF and financial crime risk the Bank is willing to accept in pursuit of its strategic objectives.

SDD (Simplified Due Diligence)

Reduced CDD measures applicable to customers presenting demonstrably low risk, as permitted by applicable law.

Screening

The process of checking customers and transactions against sanctions lists, PEP databases, adverse media, and other watchlists.

UBO Registry

The Norwegian Register of Beneficial Owners (Registerenheten / Brønnøysund Register Centre).

4. GOVERNANCE & RESPONSIBILITIES

The Bank operates a Three Lines of Defence model for KYC and CDD governance.

4.1 Board of Directors

The Board retains ultimate responsibility for the Bank's financial crime risk framework. The Board Risk and Compliance Committee (BRCC) approves this policy and reviews it annually. The Board receives a consolidated Financial Crime Risk Report quarterly.

4.2 First Line of Defence – Business Units

Relationship Manager (RM): Collects KYC documentation; conducts initial risk assessment; triggers EDD where required; maintains ongoing customer contact.

Business Line Compliance Liaison: Supports RMs; escalates borderline cases to Compliance; ensures business adherence to this policy.

Operations / Onboarding Team: Processes KYC documentation; operates the onboarding system; validates completeness of CDD files.

4.3 Second Line of Defence – Compliance & Financial Crime

Chief Compliance Officer (CCO): Owns this policy; reports to the Board; responsible for the overall KYC/CDD framework; approves high-risk customer onboarding.

Head of Financial Crime Prevention: Leads the AML/KYC function; oversees screening, EDD reviews, and transaction monitoring programmes.

KYC Analysts: Conduct EDD reviews; approve complex onboarding cases; perform periodic reviews of high-risk customer files.

Sanctions & Screening Team: Manages watchlist screening; investigates and clears potential matches; escalates confirmed hits.

4.4 Third Line of Defence – Internal Audit

Internal Audit conducts independent assessments of the KYC/CDD framework at least annually. Findings are reported to the Audit Committee and CCO. All audit findings must be remediated within agreed timeframes.

4.5 Escalation Matrix

Scenario	Escalation To	Timeframe
Customer matches sanctions list	Head of Financial Crime + CCO + Legal	Immediate (≤30 min)
Customer is identified as a PEP	Senior RM + Head of Financial Crime	Same business day
EDD triggers identified at onboarding	KYC Analyst + CCO approval required	Within 5 business days
Customer refuses to provide documentation	Business Line Compliance Liaison + Head of Financial Crime	Within 2 business days
Adverse media – serious allegations	CCO + Legal	Within 24 hours
Suspected fraud or ML at onboarding	Financial Crime Prevention + MLRO	Immediate

5. CUSTOMER ACCEPTANCE POLICY

The Bank applies a risk-based Customer Acceptance Policy (CAP) to determine which customers and business relationships to accept, on what terms, and with what level of due diligence.

5.1 Standard Acceptance

Customers who present low to medium financial crime risk and fulfil standard CDD requirements may be onboarded through the standard process. The business line holds onboarding authority for standard-risk customers.

5.2 Conditional Acceptance

Customers who present higher risk indicators but do not fall into a prohibited category may be accepted conditionally, subject to:

- Completion of full EDD to the satisfaction of the Head of Financial Crime
- CCO approval for all high-risk customer relationships
- Defined monitoring parameters and documented risk acceptance rationale
- Senior management sign-off where the customer is a PEP, holds a high-risk country nexus, or operates in a designated non-financial business / profession
- Annual review as minimum (more frequent if risk profile deteriorates)

5.3 Prohibited Customers

The Bank will not establish or maintain a business relationship with:

- Anonymous customers or customers using fictitious names
- Shell banks (banks with no physical presence in any jurisdiction)
- Persons or entities on OFAC SDN, UN, EU, Norwegian, or other applicable sanctions lists
- Persons convicted of money laundering, terrorist financing, or serious predicate offences
- Businesses operating unlicensed money service businesses or unlicensed virtual asset service providers
- Entities established in FATF black-listed jurisdictions with no credible business rationale
- Customers who refuse to provide required KYC documentation or information
- Customers whose source of funds or wealth cannot be satisfactorily established
- Entities whose ultimate beneficial ownership cannot be determined

Note: A full list of prohibited and restricted business types is contained in Annex A.

5.4 Restricted Customers (Enhanced Controls Required)

- Politically Exposed Persons (PEPs) and their close associates/family members
- Customers with nexus to FATF grey-listed or high-risk jurisdictions
- Money service businesses (MSBs) and currency exchange operators
- Cash-intensive businesses (e.g., casinos, car dealerships, jewellers)
- Virtual asset service providers (VASPs)
- Non-profit organisations and charities (particularly those operating internationally)
- Private banking customers with assets exceeding NOK 10 million
- Correspondent banking relationships
- Legal professionals, trust and company service providers (TCSPs)

6. CUSTOMER IDENTIFICATION & VERIFICATION (CIP)

The Bank must identify and verify the identity of all customers prior to establishing a business relationship or conducting an occasional transaction above applicable thresholds. The identification and verification process forms the foundation of the CDD programme.

6.1 Individual Customers – Identification Requirements

The following information must be collected for all natural persons:

Data Element	Description / Acceptable Sources
Full legal name	As it appears on official government-issued identity document
Date of birth	Day, month, year
National ID / Passport number	Government-issued document number
Nationality / Citizenship	Primary and any dual nationalities
Country of birth	As documented on ID
Residential address	Full permanent residential address (not PO Box)
Tax identification number (TIN)	Norwegian: fødselsnummer / D-nummer; foreign equivalent where applicable
Contact information	Primary telephone number and email address
Occupation / Source of income	Current employer and role, or nature of self-employment
PEP status	Self-declaration and database screening

6.2 Acceptable Identity Verification Documents

Identity must be verified using at least one primary document:

- **Primary documents (at least one required):** Valid national passport; Norwegian national identity card (BankID-verified); EU/EEA identity card; Norwegian driving licence (biometric chip version)
- **Secondary/supporting documents:** Recent utility bill (≤3 months); bank statement from another regulated institution; government-issued correspondence; Norwegian Folkeregisteret confirmation

For digital onboarding, verification must be completed via approved eKYC methods as specified in Section 14. BankID is the preferred verification method for Norwegian residents.

6.3 Legal Entity Customers – Identification Requirements

Entity Type	Required Documentation
Norwegian AS / ASA	Certificate of incorporation (Firmaattest); Articles of association; Board resolution authorising account; List of directors
Foreign corporations	Certificate of incorporation (apostilled); Constitutional documents; Good standing certificate; Board authorisation
Partnerships / ANS	Partnership agreement; Registration certificate; Details of all partners; Authority to enter banking relationship
Trusts	Trust deed; Trustee identification and verification; Protector and settlor identification; Beneficiary information
Foundations / NGOs	Foundation charter; Registration with relevant authority; List of directors/trustees; Purpose and funding sources

7. CUSTOMER DUE DILIGENCE (CDD)

CDD is required for all customers prior to establishing a business relationship and on a periodic basis thereafter. The Bank applies a risk-based approach to the intensity and frequency of CDD.

7.1 Standard CDD Requirements

Standard CDD applies to all customers unless SDD or EDD criteria are met. Standard CDD comprises:

- Identification and verification of the customer's identity (Section 6)
- Identification and verification of the beneficial owner's identity
- Understanding the purpose and intended nature of the business relationship
- Understanding the customer's business activities, source of funds, and expected transaction behaviour
- Assessment of the customer's risk profile
- Screening against sanctions lists, PEP databases, and adverse media
- Ongoing monitoring of the business relationship and transactions

7.2 CDD Review Schedule

Risk Rating	Periodic Review Frequency	Trigger Review Criteria
Low Risk	Every 5 years	Material change in customer circumstances; negative screening hit; unusual trans
Medium Risk	Every 3 years	Change in business activity; new beneficial owner; adverse media; transaction an
High Risk	Every 1 year (minimum)	Any material change; any adverse screening hit; any escalation from transaction
Critical / PEP	Every 6 months	Ongoing enhanced monitoring; any trigger event requires immediate review

7.3 Source of Funds (SoF) & Source of Wealth (SoW)

Understanding the origin of funds is a critical element of CDD. The Bank distinguishes between:

- **Source of Funds (SoF):** The origin of the specific funds or assets used in a particular transaction or relationship (e.g., sale proceeds, salary, loan disbursement).
- **Source of Wealth (SoW):** The origin of the customer's entire wealth – how they have accumulated their total assets over time (e.g., business ownership, inheritance, employment).

For standard-risk customers, a declaration of SoF is sufficient. For high-risk customers and PEPs, both SoF and SoW must be collected and verified against independent documentation including but not limited to:

- Tax returns and notices of assessment
- Audited financial statements or management accounts
- Sale and purchase agreements for property or business interests
- Probate documents, trust deeds, or gift declarations
- Payslips, employment contracts, or pension statements
- Company valuation reports or IPO/capital raising documentation

7.4 Business Relationship Purpose & Nature

The Bank must understand why a customer wants to establish a relationship and what they intend to use the Bank's services for. This understanding must be documented in the customer file and updated upon material change. Key elements include:

- Primary purpose of the account/relationship

- Expected transaction types, volumes, and frequencies
- Expected geographic reach of transactions (domestic vs. cross-border)
- Anticipated counterparties (for corporate clients)
- Product and service needs

8. ENHANCED DUE DILIGENCE (EDD)

Enhanced Due Diligence (EDD) is mandatory for customers and transactions presenting higher ML/TF risk. EDD applies additional scrutiny beyond standard CDD and requires explicit sign-off from the Head of Financial Crime or CCO.

8.1 EDD Triggers

EDD is automatically triggered in the following circumstances:

- Customer identified as a PEP (domestic or foreign) or close associate/family member of a PEP
- Customer with primary residence, operations, or funds originating from a FATF grey-listed or black-listed jurisdiction
- Customer assessed as high-risk by the Bank's risk scoring model
- Correspondent banking relationships
- Private banking customers with net assets or deposits exceeding NOK 10 million
- Virtual asset service providers (VASPs) and crypto-related businesses
- Money service businesses, currency exchange operators, or hawala networks
- Cash-intensive businesses with annual cash turnover exceeding NOK 500,000
- Non-face-to-face customers where digital verification cannot be independently confirmed
- Complex or unusual legal structures with no apparent legitimate purpose
- Transactions with no apparent economic rationale
- Referrals from transaction monitoring with credible suspicion indicators

8.2 EDD Measures

The following additional measures apply in EDD situations:

Senior Management Approval: Onboarding and continuation of high-risk relationships requires approval from the CCO or, for critical risk cases, the Board BRCC.

Enhanced SoF/SoW Verification: Documentation substantiating source of funds and wealth must be independently verified (not merely self-declared).

Site Visit / In-Person Meeting: For corporate high-risk customers, an in-person meeting with decision-makers is required where feasible.

Third-Party Intelligence Report: An independent due diligence report from an approved provider may be required for complex structures or high-risk jurisdictions.

Certified Documentation: Document copies must be notarised or certified by an approved professional where originals cannot be inspected.

Additional Ownership Verification: UBO chain must be traced to ultimate natural person(s) through each intermediate layer.

Enhanced Ongoing Monitoring: Transaction monitoring thresholds are reduced; manual review frequency is increased; any unusual activity triggers an immediate review.

Regular Senior Relationship Review: Relationship must be reviewed by a senior business manager and Compliance at minimum every 6–12 months.

8.3 EDD File Requirements

EDD files must contain, at a minimum:

- Completed EDD Questionnaire (see Annex D)
- All standard CDD documentation (Section 6 and 7)
- Verified source of funds and source of wealth documentation
- Adverse media report (within 6 months)
- Sanctions and PEP screening results with analyst commentary
- Risk acceptance rationale signed by approving officer
- Defined monitoring parameters and review date
- Record of any concerns, escalations, or derogations

9. SIMPLIFIED DUE DILIGENCE (SDD)

SDD may be applied where there is demonstrably low ML/TF risk and applicable law permits a reduced level of CDD. SDD does not mean no due diligence – core identification and verification steps remain mandatory.

SDD is permitted only for the following customer categories and subject to Head of Compliance approval:

Listed Companies: Companies listed on a recognised EU/EEA or equivalent stock exchange with full disclosure requirements (subject to screening)

Norwegian Public Entities: Ministries, municipalities, and government agencies where public ownership and purpose are evident

Regulated Financial Institutions: Banks and payment institutions supervised by Finanstilsynet or equivalent EEA regulator (excluding high-risk jurisdiction entities)

Low-Value Products: Products with a maximum annual transaction value of NOK 15,000 and no redemption in cash (e.g., basic savings products)

Payroll / Employer-Sponsored Accounts: Employee salary accounts opened via formal payroll arrangements with verified employers

SDD classification must be reviewed annually. Any deterioration in the customer's risk profile or the operating environment must trigger upgrade to standard CDD or EDD.

10. POLITICALLY EXPOSED PERSONS (PEPs)

The Bank applies heightened scrutiny to PEPs given the elevated risk of bribery, corruption, and misuse of public funds associated with such relationships.

10.1 PEP Categories

Category	Definition	Risk Level
Foreign PEP	Head of state, head of government, minister, deputy minister, member of parliament, supreme court judge, central bank governor	Very High
Domestic PEP	Equivalent roles within Norway	High
International Organisation PEP	Senior officials of international organisations (EU, UN, NATO, IMF, World Bank, etc.)	High
Former PEP	Person who has ceased to hold a prominent function (de-risking applies after 18 months depending on risk)	Medium-High
Close Associate of PEP	Known close business partners; persons known to have joint beneficial ownership of legal entities with a PEP	High
Family Member of PEP	Spouse/partner; children and their spouses/partners; parents	High

10.2 PEP Onboarding Requirements

- Senior management approval (minimum: Head of Financial Crime; CCO for foreign PEPs)
- Full EDD as per Section 8
- Detailed source of wealth investigation and verification
- Understanding of the nature of the public role held and associated corruption risks
- Assessment of the country/jurisdiction risk and relevant corruption indices (Transparency International CPI)
- Six-monthly review during tenure; annual review after cessation of prominent function
- Continuous adverse media monitoring

10.3 PEP Screening

All customers must be screened against approved PEP databases at onboarding and at minimum monthly thereafter. The Bank uses the following PEP screening sources:

- LexisNexis WorldCompliance
- Dow Jones Risk & Compliance
- Refinitiv World-Check
- Manual cross-referencing for high-risk jurisdictions where database coverage may be incomplete

Note: PEP self-declaration is a mandatory part of the onboarding form but does not substitute for database screening.

11. ULTIMATE BENEFICIAL OWNERSHIP (UBO)

The Bank must identify and verify the ultimate beneficial owners (UBOs) of all legal entity customers. This obligation cannot be waived or reduced for any entity type.

11.1 UBO Identification Threshold

A UBO is any natural person who:

- Directly or indirectly owns or controls 25% or more of the shares or voting rights in the entity
- Has the right to appoint or remove the majority of the board of directors
- Otherwise exercises control by other means

For high-risk entities and customers, the threshold is reduced to 10%.

Where no natural person can be identified under the above criteria, the senior managing official(s) of the entity must be identified and verified as the deemed UBO.

11.2 UBO Documentation

- Complete ownership chart tracing to natural person level
- Identity verification documents for each UBO (Section 6.1)
- Confirmation of UBO status via the Norwegian UBO Registry (Brønnøysundregistrene) or equivalent
- Where registry information is incomplete or unavailable, a signed UBO declaration must be obtained and independent verification performed
- Screening of each identified UBO against sanctions, PEP, and adverse media databases

11.3 Complex Structures

Where a customer operates through layered or complex corporate structures, the Bank must understand the rationale for the structure. Structures that appear designed to obscure beneficial ownership are a red flag requiring EDD and potential SAR consideration.

12. ONGOING MONITORING

Ongoing monitoring is essential to ensuring that the Bank's knowledge of its customers remains current and that any changes in risk profile or suspicious activity are identified promptly.

12.1 Transaction Monitoring

The Bank maintains an automated transaction monitoring system (TMS) that generates alerts based on predefined rules and thresholds. These are reviewed by trained analysts in line with the Transaction Monitoring Policy (NB-AML-TM-002). KYC implications of TMS alerts must be reflected in customer risk assessments.

12.2 Screening – Ongoing

All active customer relationships are subject to continuous screening against:

- OFAC, EU, UN, HM Treasury, and Norwegian sanctions lists
- PEP databases
- Adverse media (negative news) databases
- Interpol and national law enforcement watchlists (where accessible)

Screening is conducted in real-time at point of transaction and on a batch basis (minimum monthly) against the full customer base.

12.3 Event-Driven Reviews

The following events trigger an immediate KYC review regardless of the scheduled review date:

- New adverse media relating to ML, fraud, corruption, or serious crime
- Transaction monitoring alert assessed as credible suspicion
- Change of control, ownership, or senior management in a corporate customer
- Change in the customer's country of residence or principal place of business to a high-risk jurisdiction
- New PEP nexus identified (e.g., customer appointed to public office)
- Sanctions match (requires immediate account freeze and escalation)
- Regulatory or law enforcement enquiry relating to the customer
- Customer self-reports a material change in circumstances

13. HIGH-RISK JURISDICTIONS

The Bank maintains a dynamic list of high-risk jurisdictions informed by FATF, EU, Norwegian Finanstilsynet, OFAC, and other regulatory and intelligence sources. Customer relationships, transactions, and counterparties with nexus to high-risk jurisdictions attract enhanced scrutiny.

The jurisdictional risk assessment considers: FATF grey/black list status; corruption perception index (Transparency International); quality of AML/CFT supervision; tax transparency and exchange of information standards; political stability and rule of law; prevalence of organised crime and narcotics trafficking.

Customers with high-risk jurisdiction nexus must undergo EDD. The Bank will not accept customers domiciled in FATF black-listed jurisdictions without exceptional Board-level approval.

14. DIGITAL ONBOARDING & eKYC

The Bank supports fully digital customer onboarding subject to the controls set out in this section. Digital onboarding must meet the same KYC standards as face-to-face onboarding.

- **BankID:** The preferred eKYC method for Norwegian residents. BankID provides legally binding identity verification and is accepted as equivalent to in-person identification.
- **Biometric Document Verification:** For non-BankID eligible customers, the Bank uses approved AI-based document scanning and liveness detection technology. Approved providers must be on the Bank's Technology Approved Vendor List.
- **Video KYC:** Live video identity verification is permitted for certain customer categories as an alternative to in-person meetings. Sessions must be recorded and retained for 5 years.
- **Database Verification:** Automated cross-referencing with the Norwegian National Population Register (Folkeregisteret), credit reference agencies, and utility data providers to corroborate address and identity.
- **Manual Review Fallback:** All automated eKYC decisions must include a human-in-the-loop review for medium and high-risk customers, and for any case where the automated system flags uncertainty.

15. AI-ASSISTED KYC & AGENT CONTROLS

The Bank deploys AI-assisted tools and agents to support KYC processes including document extraction, risk scoring, screening, and ongoing monitoring analysis. The following controls are mandatory for any AI or automated agent operating within the KYC/CDD framework:

- **Human Oversight:** AI tools are advisory only. Final decisions on customer risk classification, EDD requirements, and relationship approval/rejection must be made by a qualified human compliance professional.
- **Explainability:** AI risk scores and recommendations must be accompanied by human-readable explanations of the key factors driving the output. Black-box decisions are not acceptable for regulatory purposes.
- **Auditability:** All AI-generated outputs, inputs, and decisions must be logged and retained for a minimum of 5 years. The log must be sufficiently detailed to allow post-hoc audit by internal audit and regulators.
- **Bias & Fairness Testing:** AI models used in KYC must be tested for discriminatory bias on a quarterly basis. Results must be reported to the Head of Financial Crime and CCO.
- **Model Governance:** All AI models must be validated by the Model Risk function before deployment and reviewed annually. Material model changes require re-validation.
- **Data Quality:** AI agents must only operate on complete, verified data. Incomplete CDD files must be flagged for human completion before AI analysis is applied.
- **Escalation:** AI agents must be configured to escalate cases with confidence below a defined threshold to human analysts immediately.

16. RECORD-KEEPING REQUIREMENTS

All KYC and CDD records must be retained for a minimum of 5 years following the end of the business relationship or the date of an occasional transaction (whichever is later). Records must be:

- Stored in the Bank's approved Document Management System (DMS)
- Accessible within 24 hours upon request by Finanstilsynet, law enforcement, or authorised internal functions
- Retained in a format that preserves integrity and prevents unauthorised alteration
- Protected in accordance with GDPR and the Bank's Data Protection Policy
- Deleted in accordance with the approved data retention schedule following the mandatory retention period

17. TRAINING REQUIREMENTS

All employees involved in customer onboarding, relationship management, or financial crime prevention must complete mandatory AML/KYC training. Training requirements by role:

Role	Training Module	Frequency
All staff	AML/CFT Awareness – Foundation	Annual
Customer-facing staff	KYC/CDD Procedures – Practitioner	Annual + when policy updated
KYC Analysts	Advanced AML, EDD, and Typologies	Annual + quarterly case studies
Compliance / MLRO team	MLRO Certification + Regulatory Updates	Annual + as required
Senior Management	AML Governance and Board Responsibilities	Annual
New joiners	All applicable modules	Within 30 days of start date

18. POLICY EXCEPTIONS

Any deviation from this policy requires prior written approval from the CCO. Exceptions must be documented with full justification, risk assessment, and compensating controls. All exceptions must be reported to the Head of Financial Crime monthly and to the BRCC quarterly. No exception may override a legal or regulatory obligation.

19. BREACH & NON-COMPLIANCE

Failure to comply with this policy constitutes a serious breach that may result in:

- Disciplinary action up to and including dismissal
- Personal civil or criminal liability under applicable AML legislation
- Referral to Finanstilsynet or other regulatory authorities
- Reputational and financial consequences for the Bank

All suspected policy breaches must be reported to the CCO or Head of Financial Crime within 24 hours of discovery. The Bank maintains a confidential speak-up channel for reporting concerns.

ANNEX A PROHIBITED & RESTRICTED BUSINESS TYPES

Category	Status	Conditions / Notes
Shell banks	PROHIBITED	No exceptions
Sanctioned persons / entities	PROHIBITED	No exceptions; immediate freeze and report
Unlicensed MSBs	PROHIBITED	No exceptions
Unlicensed VASPs	PROHIBITED	No exceptions
Weapons manufacturers (conventional)	RESTRICTED	Board approval; EDD; no exports to embargoed countries
Defence contractors	RESTRICTED	CCO approval; verified licences
Casinos / gambling operators	RESTRICTED	CCO approval; full licence verification; EDD
Cannabis / controlled substances businesses	RESTRICTED	Permitted only where fully legal in operating jurisdiction; Board approval
High-value dealers (art, jewellery, cars)	RESTRICTED	EDD; cash transaction monitoring; AML attestation
Non-profit / charities	RESTRICTED	EDD; source of funds; beneficiary due diligence
VASPs / crypto exchanges	RESTRICTED	Licensing verified; FATF Travel Rule compliance; enhanced TM
Private label payment schemes	RESTRICTED	Compliance pre-approval; operational due diligence

ANNEX B CDD CHECKLIST – INDIVIDUAL CUSTOMERS

Complete this checklist for each individual customer at onboarding and at each periodic review.

#	Requirement	Collected	Verified	Analyst Initials
1	Full legal name (as per ID document)	■	■	
2	Date of birth	■	■	
3	Nationality / Citizenship (all)	■	■	
4	Country of birth	■	■	
5	Permanent residential address	■	■	
6	Tax identification number(s)	■	■	
7	Primary contact details	■	■	
8	Occupation / Employer / Business activity	■	■	
9	Primary identity document (copy certified)	■	■	
10	Proof of address (≤3 months)	■	■	
11	PEP self-declaration form signed	■	N/A	
12	PEP database screening result	■	■	
13	Sanctions screening result	■	■	
14	Adverse media check result	■	■	
15	Source of funds declaration	■	■	
16	Source of wealth (EDD customers only)	■	■	
17	Expected transaction behaviour documented	■	N/A	
18	Risk rating assigned and documented	■	N/A	
19	EDD required? If yes, EDD file reference:	■	N/A	
20	Approving officer sign-off	■	N/A	